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Cash Management Policy

USDA/FAS Federal Awards, Commodity Credit Corporation (CCC) Funding, and Commodity Monetization Proceeds

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Enacted

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Table of Contents

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1. Objective

This policy establishes Partners of the Americas (Partners) standards and procedures for the management, deposit, disbursement, tracking, and reporting of cash under U.S. Department of Agriculture (USDA), Foreign Agricultural Service (FAS) federal awards, including but not limited to the McGovern-Dole International Food for Education and Child Nutrition Program (McGovern-Dole, 7 CFR Part 1599) and the Food for Progress Program (7 CFR Part 1590).

This policy applies specifically to (a) cash advances and reimbursements funded through the Commodity Credit Corporation (CCC), and (b) proceeds generated from the monetization (in-country sale) of USDA-donated commodities.

It establishes the internal control framework required to ensure compliance with 2 CFR Part 200, 7 CFR Part 1599 (McGovern Dole), 7 CFR Part 1590 (Food for Progress) and the USDA General Terms and Conditions for Federal Awards.

2. Scope and Applicability

This policy applies to:

- All Partners staff who receive, hold, disburse, reconcile, or report on USDA/FAS cash, whether CCC-funded cash advances or monetization proceeds;
- All subrecipients and subawardees who receive a pass-through of CCC funds or monetization proceeds from Partners, subject to the flow-down requirements in accordance with Section 12;
- All active USDA/FAS cooperative agreements, grants, and subawards administered by POA, including McGovern-Dole, Food for Progress/Fixed Food Price (FFPr) awards, and any USDA award incorporating CCC funding or a commodity monetization component;
- All bank accounts, sub-ledgers, and financial systems (Sage Intacct, CashPro, Bank of America, and in-country banking relationships) used to hold or move such funds.

This policy does not supersede award-specific terms and conditions, where a conflict exists, the specific award document and controlling federal regulation govern, and the Director Grants & Contracts Compliance must be notified so this policy can be reconciled or a documented exception applied.

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3. Definitions

- **Advance Payment:** A payment made by USDA/FAS to Partners, prior to Partners' disbursement of the funds for allowable program costs.

- **CCC Cash Funds / CCC Cash Advances:** Cash provided by the Commodity Credit Corporation under a McGovern-Dole or Food for Progress/FFPr award to fund the cash (non-commodity) components of the program (e.g., administrative costs, technical assistance, freight/logistics not covered by commodities, and other direct costs).

- **De Minimis Interest Retention:** The amount of interest earned on federal advances up to $500 per non-Federal entity per year, across all federal awards that a non-Federal entity may retain for administrative expense under 2 CFR § 200.305(b)(9), with any amount above that threshold required to be remitted to the federal awarding agency at least annually.

- **Interest Earned on Federal Advances:** Interest income accruing on cash balances attributable to CCC advances and on monetization proceeds held in an interest-bearing account prior to disbursement for program purposes.

- **Monetization:** The authorized sale of USDA-donated agricultural commodities within an eligible country, performed by a designated monetization agent, in accordance with an approved Monetization Plan.

- **Monetization Proceeds:** The gross sale proceeds generated from monetization, net of any USDA-approved costs of generating that income (e.g., ocean freight, internal transport, storage, and handling directly tied to the monetized portion, where allowed), which constitute program income under 2 CFR 200.307 and must be used solely for purposes set out in the approved award terms.

- **Program Income:** Gross income earned by Partners that is directly generated by a supported activity or earned as a result of the federal award during the period of performance, as defined at 2 CFR § 200.1 and § 200.307; for USDA/FAS purposes, monetization proceeds are treated as program income subject to the added-cost or deductive method specified in the award.

- **Sage Intacct:** Partners home office accounting system for expense tracking, financial reporting and monitoring.

- **Segregated / Sub-Ledger Account:** A distinct general ledger sub-ledger code within Sage Intacct that isolates CCC cash advances and monetization proceeds by award and by funding source for tracking and reporting purposes.

4. General Cash Management Standards

Below are the general guidelines that Partners is required to meet in order to ensure compliance and safeguarding of cash.

4.1 Minimizing Time Between Drawdown and Disbursement

Consistent with 2 CFR § 200.305(b), Partners will request cash advances of CCC funds only in amounts and at times necessary to meet immediate cash needs for allowable program disbursements. Partners does not draw down funds to build cash reserves, to pre-fund future budget periods, or for reasons unrelated to imminent programmatic disbursement.

- Field program teams will submit cash forecasts monthly to Home Office (HO) Program team in advance of each drawdown request. The HO Program team will review and add any HO costs, then submits to HO Finance.
- Finance validates the forecast against the approved budget, current burn rate, and outstanding subrecipient advances before initiating a drawdown via email by completing the SF-270 forms.
- Drawdowns are planned to cover only the near-term disbursement needs.

Partners does not request funds further in advance of need than is necessary, and does not request advances more frequently than necessary to minimize the average time elapsed between drawdown and disbursement for actual, allowable program costs.

4.2 Basis of Payment: Advance vs. Reimbursement

USDA/FAS awards to Partners may be funded on an advance basis (via CCC drawdown) or reimbursement basis, as specified in the Cooperative Agreement. Where the award specifies reimbursement, Partners will front costs from its own operating funds (or a documented working capital advance, Section 4.3) and submit reimbursement requests supported by the Federal Financial Report (SF-425) and underlying documentation.

4.3 Working Capital Advances

When Partners (or a subrecipient) cannot meet the timeliness or reporting criteria required for standard advance payments and reimbursement is not feasible, HO Finance may request a working capital advance under [2 CFR § 200.305(b)(4)](). Working capital advances must be liquidated promptly against actual allowable disbursements, and are documented and approved by the Controller before submission.

4.4 Banking Institution Standards

Depositories in the United States used to hold CCC cash advances and monetization proceeds must be insured institutions FDIC-insured domestically. For foreign depositories Partners will aim to find equivalent deposit protection or, where unavailable, USDA/FAS pre-approval for in-country banks in accordance with [2 CFR § 200.305(b)(10)]().

Finance will document the insurance/backing status of each depository at account opening and upon any change in banking relationship. Field offices may not open new bank accounts without prior written approval from HO Finance, which confirms FDIC-equivalent insurance status, signatory controls, and Sage Intacct mapping before the account is used.

4.5 Use of Safes

Partners is required to use a fireproof safe for the storage of office cash. Access to the safe should be strictly controlled. A set of keys should be kept by the Controller and President & CEO only.

4.6 Minimizing Cash Transactions

Given the inherent risks associated with cash handling, Partners must always use other electronic means of payment whenever possible, such as a bank debit card, ACHs, checks or wire transfers and avoid use of petty cash and advances. The maximum cash payment that is permissible is USD $25. Transactions over this threshold must be made with another payment method such as a bank debit card, ACH, check, or wire transfer.

4.7 Evidence of Receipt by Payee

To prevent duplicate payments or claims of discrepancies, all cash payments must be documented by evidence of receipt by the payee. This means that the recipient of the payment must sign that the cash was received in total at the time of payment. A numbered receipt should be prepared in duplicate indicating the amount and date and should be signed by the recipient. One copy should be given to the payee and one copy should be retained and included with the voucher documentation.

4.8 Periodic Cash Counts – Petty Cash Certification

Cash balances should be physically counted periodically to ensure that cash journal/receipts balances match the actual cash on hand. Petty cash certifications should conform to the following general guidelines:

- Cash counts should be done discreetly, out of general view and should be undisturbed.
- Counts should be performed by a minimum of two people. One should serve as the counter and the other as a witness of the count. A template of the Petty Cash Certification must be completed each time.
- Cash counts should be performed each month and at random.
- Any overages or underages must be recorded in the cash journal at month end in order to reconcile with the final count. Discrepancies may not be held over to future periods. The cause for any overages or underages must be further researched and appropriate action taken to ensure that it does not happen in the future.

5. Bank Account and Sub-Ledger Structure

To ensure CCC cash advances and monetization proceeds are separately identifiable at all times Partners maintains the following minimum account/sub-ledger segregation:

Fund Type	Banking Treatment	Sage Intacct Tracking
CCC Cash Advances (non-commodity program cash)	Received into Partners' general operating account after submission of an email and SF-270 form, then a transfer is made within two (2) business days, to the dedicated interest-bearing sub-account.	Dedicated project/task/award code per Cooperative Agreement number (e.g., FCC-620-2025-009-00), with a source-of-funds dimension flagged "CCC."
Monetization Proceeds	Deposited by the monetization agent/buyer directly into Partners' general operating account, then within two (2) business days, the funds will be transferred to an interest-bearing account.	Dedicated project/task/award code with a source-of-funds dimension flagged "Monetization Proceeds," further split by commodity

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Fund Type	Banking Treatment	Sage Intacct Tracking
		sale lot/transaction where feasible.
Interest Earned	Accrues within the interest-bearing account(s) above; tracked and allocated per Section 9.	Recorded to an 'Interest Income – Federal Award' GL account, sub-ledger by award and by source (CCC vs. Monetization) pending remittance or approved use.
Program Income Generated from Other Sources (if any)	Segregated per award terms; added or deducted per the method specified in the award (addition vs. deductive method, 2 CFR § 200.307(b)).	Separate GL/sub-ledger coding from monetization proceeds unless the award treats them identically.

No CCC cash advance or monetization proceeds account may be used for any other award or for Partners' general operating purposes.

6. Advance Request and Drawdown Procedure

Partners follows the below process for processing advances and drawdown requests.

1. Field staff submit a cash forecast for the next month to HO Program Team.
2. The HO Program Team reviews the projections, and adds HO cash forecast needs.
3. HO Program Team completes a Request for Funding (RFF) via PandaDoc, obtaining the required signatures in accordance with Partners Delegation of Authority Policy.
4. HO Finance reviews the RFF against the approved budget, current unliquidated advance balance, and burn rate, and confirms no over-drawdown against the award ceiling.
5. HO Finance then initiates the drawdown request via email by submitting a SF-270 form for CCC cash advances only.

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6. Funds are deposited into Partners' operating account. Within one (1) business day of the deposit, the funds are transferred to the program designated interest-bearing account per Section 8.3.
7. The transaction is recorded in Sage Intacct within two (2) business days of receipt, coded to the correct award and source-of-funds dimension.
8. Any unused portion of an advance nearing the end of a budget period is evaluated for return to USDA/FAS or documented for the next drawdown cycle.

7. Disbursement Process

Disbursements are made from either the Field Office (FO) or the HO, each following its own procedure as described below.

- **Field Office:** FO disbursements are made using the Payment Request Form (PRF) completed in PandaDoc and are processed against the FO Cash Flow Request. Each FO follows the documented review and approval of the PRF prior to payment, in accordance with the country specific Supplemental Manual.

- **Home Office:** HO disbursements are processed through the Bill.com platform, which maintains the required authorizations, approvals, and supporting documentation for each payment. Once a payment has been reviewed and approved by all required approvers, including F&A, the Controller disburses the payment through Bill.com using Partners' operating bank account.

Following disbursement, the Controller will reconcile the HO and FO funds spent.

- **Home Office:** The Controller runs a report of total HO payments made per award through Bill.com and transfers that total from the award's dedicated interest-bearing account to the operating account to replenish the funds used for those disbursements, consistent with Section 4.1. These replenishment transfers are processed twice per week.
- **Field Office:** For cash advances disbursed to the field office against its FO Cash Flow Request, the disaggregation between CCC cash advances and monetization proceeds will be recorded on the RFF, as an estimate. Once the FO's actual expenditures are uploaded into Sage Intacct, HO Finance runs a Sage Intacct report using the "USDA category" dimension to identify the true funding source of each payment and adjusts the initial disaggregation to match the FO's actual recorded expenditures. This reconciliation step ensures that the CCC-versus-monetization split reflected in the sub-ledger for each award

is based on actual disbursement activity, not the estimate used at the time funds were advanced.

Regardless of the disbursement channel, Partners requires standardized payment request forms, checklists, and supporting documentation to validate the reasonableness, allocability, accuracy, and allowability of all expenditures prior to payment. Every disbursement must also be coded to the correct budget code within the approved award budget before it is recorded in Sage Intacct. The preparer of the PRF (in FO) or the payment record in Bill.com (HO) is responsible for identifying the applicable budget line, and the approver reviewing and authorizing the disbursement is responsible for confirming that the coding matches the nature of the expense and remains within the approved budget for that line.

8. Distinguishing and Tracking of CCC Cash Advances and Monetization Proceeds

Since CCC cash advances and monetization proceeds are governed by different rules on origin, allowable use, and reporting, Partners maintains a clear operational and accounting distinction between the two funding streams at all times, from receipt through final use and reporting.

8.1 CCC Cash Advances

- Source: Direct cash drawdown from USDA/FAS via CCC, requested via email and submission of SF-270 form against the award's approved cash budget.
- Use: Administrative costs, technical assistance, in-country program delivery costs, freight/logistics not funded by commodity value, and other direct costs identified in the approved budget.
- Liquidation: Matched against actual expenditures on the SF-425 and supporting general ledger detail; unliquidated advance balances are reconciled monthly.

8.2 Monetization Proceeds

- Source: Sale of USDA-donated commodities in the recipient country by Partners' monetization agent.
- Use: Strictly limited to the purposes identified in the approved Award Document (e.g., activities, program implementation costs, transport, warehousing, technical assistance, monitoring and evaluation, or other purposes USDA/FAS has pre-approved).
- Currency: Typically received in local currency; Partners records the USD-equivalent (at the applicable exchange rate on the date of receipt).

- <u>Documentation:</u> Sale contracts, buyer payment confirmations, import/customs documentation, and USDA/FAS notification of sale (as required) are retained in the award file and cross-referenced to the deposit in the monetization proceeds account.

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8.3 Charts of Accounts and Coding Convention

All transactions entered into Sage Intacct must follow Partners' Chart of Accounts, and the award program budget (for activity budget lines). Every transaction affecting CCC cash or monetization proceeds is coded using, at minimum, the following dimensions in Sage Intacct so that reporting can isolate either funding stream, individually or in combination, for any award at any time:

Dimension	Example Value
Internal Award/Agreement Number	USDA700
Funding Source Type	CCC, Monetization Proceeds, Interest – CCC, or Interest – Monetization
Country/Program	Colombia
Activity Budget Line (Cost Category)	Personnel, Freight, Warehousing, Technical Assistance, etc.
USDA Categorization (for USDA Awards only)	CCC, Monetization Proceeds, Commodity, or LRP

8.4 Monthly Reconciliation

HO Finance performs a monthly reconciliation, by award, that separately reconciles (a) the CCC cash advance sub-ledger to the SF-270 form drawdown history and bank statement, and (b) the monetization proceeds sub-ledger to the monetization proceeds bank statement. The reconciliation confirms that no transaction has been miscoded between the two streams and that cumulative disbursements against each stream remain within its approved, USDA budget caps.

9. Interest Income: Tracking, Allocation, and Remittance

Partners tracks all interest by type of funding whether CCC funding or monetization proceeds.

9.1 General Rule on Interest

Interest earned, during the period of performance and award closeout, on cash balances attributable to federal advances is federal property. Under 2 CFR § 200.305(b)(12), Partners must remit interest earned on advances of federal funds at least annually, and may retain only up to $500 per year, across all federal awards combined (not per award), for administrative expense. Any interest earned above that entity-wide annual threshold must be remitted to the Department of Health and Human Services Payment Management System, or other as designated within the timeframe required by that system, generally no later than the end of the calendar quarter following the quarter in which it was earned, unless the award or system specifies otherwise.

9.2 Interest on Monetization Proceeds

When monetization proceeds are held in an interest-bearing account pending use, interest earned on those balances is treated consistently with the award's Plan of Activities and 2 CFR § 200.307. Unless the specific award or USDA/FAS guidance directs otherwise, Partners treats interest earned on monetization proceeds as an addition to program income, to be used for the same approved program purposes as the underlying proceeds. Partners separately tracks it from interest earned on CCC cash advances.

9.3 Maximizing Interest Earnings

Consistent with prudent cash management and the requirement to minimize idle federal cash balances in non-interest-bearing accounts, Partners holds CCC cash advances and monetization proceeds in interest-bearing accounts. Funds are only transferred to the operational account to cover imminent disbursements out of the operating account from which payments are made, and retaining the balance in the interest-bearing account until needed.

9.4 Interest Allocation Methodology

CCC cash advances and monetization proceeds for the same award are held in a single interest-bearing account. Interest earned each month is disaggregated between the two funding sources in proportion to each source's average daily balance for the month, using an Interest Allocation Worksheet (Annex A) maintained by HO Finance for each award.

The standard procedure, illustrated below:

Step	Procedure
1	CCC cash advances are received via email and submission of SF-270 form into Partners' general operating bank account.
2	Funds received for the award, whether monetization sale proceeds and/or CCC cash advances are transferred from the general operating account into the award's interest-bearing account.
3	HO Finance determine the amount of funds required to cover imminent programmatic disbursements.
4	The Controller transfers only the amount determined in Step 3 from the interest-bearing account back to the operating account from which payments are processed. Transfers to the operating account are made up to 2 business days prior to payment disbursement to allow for processing time. This maximizes the time program funds remain in the interest-bearing account, earning interest until actually needed, while minimizing idle balances in the operating account, consistent with Section 4.1.
5	Interest accrues and posts to the interest-bearing account monthly, per the bank statement.
6	The Interest Allocation Worksheet allocates the monthly interest between CCC Advances and Monetization Proceeds in proportion to each source's average daily balance for the month, calculated from the daily transaction and balance detail in the sub-ledger for that account.

The average daily balance for each source is computed from the running sub-ledger balance for that source across every calendar day of the month, consistent with the deposit and transfer activity in Steps 1–4. Total monthly interest (per the bank statement) is multiplied by each source's percentage share of the combined average daily balance to determine that source's allocated interest for the month. The CCC-allocated portion is subject to the $500 entity-wide de minimis and annual remittance rule in Section 9.1; the Monetization-allocated portion is treated per the award terms and conditions, and in accordance with Section 9.5, and the award's Plan of Activities.

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HO Finance retains the completed monthly Interest Allocation Worksheet, the corresponding bank statement, and the sub-ledger detail supporting the average daily balance calculation in the award file as audit support.

9.5 Remittance Mechanics

HO Finance reconciles the entity-wide interest tracker (Annex B) at the close of each calendar quarter. If cumulative interest retained for the year exceeds the $500 de minimis threshold, HO Finance calculates the excess and remits it via the remittance mechanism specified in the award within the required timeframe.

Remittances are documented with a confirmation number/receipt, retained in the entity-wide interest tracker file and referenced in the applicable award file(s). Interest properly retained on monetization proceeds under Section 9.2 is not remitted to USDA but is added to the program income for the award and reported as required.

10. Internal Controls and Segregation of Duties

- No single individual may both initiate a drawdown via PandaDoc RFF and approve/release the corresponding disbursement. The Controller will request the funds from the federal agency once the program team completes and submits an approved RFF.
- Access to Sage Intacct award/source-of-funds coding is restricted to designated Finance staff; changes to historical coding require documented justification and supervisor approval.
- HO Finance performs an independent monthly review of the CCC vs. monetization proceeds reconciliation (Section 8.4) and the interest allocation worksheet (Section 9.4), separate from the preparer.

11. Closeout: Disposition of Unused CCC Advances and Residual Monetization Proceeds

Cash management obligations do not end when program activities conclude; they extend through award closeout. No later than the timeframe specified in the award (generally within 120 calendar days of the period of performance end date, per 2 CFR § 200.344, unless pending closeout items from USDA), HO Finance will:

1. Reconcile all CCC cash advance drawdowns to final allowable expenditures on the final SF-425, and return any unliquidated/unused advance balance to USDA/FAS;
2. Reconcile cumulative monetization proceeds received to cumulative proceeds expended under the approved Plan of Activities, and identify any residual (unspent) proceeds balance;
3. Confirm, from the specific award's terms and conditions, whether residual monetization proceeds at closeout must be (a) returned to USDA/FAS, (b) obligated to a USDA-approved follow-on use, or (c) in limited circumstances, retained by PARTNERS consistent with 2 CFR § 200.307(c) this determination is award-specific and is documented in writing before any residual balance is used or retained;
4. Finalize the entity-wide interest de minimis tracker (Annex B) for the award's final reporting period and remit any interest due;
5. Retain all closeout reconciliations and evidence of any fund return in the award file.

12. Subrecipient and Subaward Flow-Down Requirements

Where CCC cash advances or monetization proceeds are passed through to a subrecipient or Subawardee, Partners' subaward agreements must include, at minimum: (1) a flow-down of the cash management, advance, and interest remittance standards in this policy and 2 CFR § 200.305, including the subrecipient's own $500 de minimis interest threshold, calculated at the subrecipient's entity level, not Partners'; (2) a requirement that the subrecipient maintain segregated accounting for CCC cash advances versus monetization proceeds consistent with Section 8; (3) advance payment limits tied to the subrecipient's demonstrated immediate cash needs; and (4) a right for Partners and USDA/FAS to audit and inspect the subrecipient's books and records related to CCC funds and monetization proceeds.

HO Finance and the Director of Grants & Contracts Compliance jointly monitor subrecipient cash advance balances and require timely liquidation and return of unused advances at subaward closeout, consistent with 2 CFR §§ 200.332 and 200.345.

13. Record Retention

All bank statements, drawdown request forms (SF-270) and confirmations, monetization sale documentation, interest allocation worksheets, the entity-wide interest de minimis tracker, and related reconciliations are retained for a minimum of three (3) years from the date of submission of the final expenditure report for the applicable award, or longer if required by the award, by 2 CFR § 200.334, or pending resolution of an audit, claim, litigation, or investigation.

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14. Policy Review and Revision

This policy is reviewed at least every 24 months, or sooner upon a material change to 2 CFR Part 200, the USDA General Terms and Conditions, USDA/FAS program regulations (7 CFR Parts 1590/1599), or Partners' financial systems. Proposed revisions are prepared by Grants & Contracts Compliance in consultation with HO Finance and approved by the Controller.

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